

10.2

Leases

In this section, we will cover Leases. Accounting policies to account lease are relatively complex for a beginner. However, we will keep it simple from our analysis point of view. We will find lease payments reported by the company.

LEASES						
Lease payment	39.36	10.77	43.55	48.95	109.73	109.73
Lease to Revenue	0.69%	0.18%	0.70%	0.69%	1.50%	1.50%
Study lease structure for each individual lease						
Understand the cancellation and renewal						
lease liabilities/ total assets						

First, we have to calculate the total amount of lease payments for the year. Also, we will look for lease, liabilities that the company may have. Next, we need to understand the size and significance of the lease payment toward the company. For this, we need to calculate the total lease to revenue for the company, or what percentage of the total revenue is the annual lease payment. This is quite similar to the common size analysis we did earlier.



Here, the lease as a percentage of revenue has been increasing over time. This is because the company's total asset value went up in the last 2 to 3 years. And there is a good chance that they had some of those assets on a lease, due to which the lease-to-revenue figures went up.